

May 21, 2026 10:42 AM GMT

Greater China Materials | Asia Pacific

China Steel and Iron Ore Weekly Update

Key Takeaways

- Apparent consumption of long products declined 3.8% WoW, while that of flat products decreased 3.1% WoW.

Weekly output increased for long products and edged up for flat products; inventory declined at traders but rose at mills. Utilization rates inched up at electric arc furnaces (EAF).

Iron ore inventory grew at mills: Operating rates edged up along with daily output.

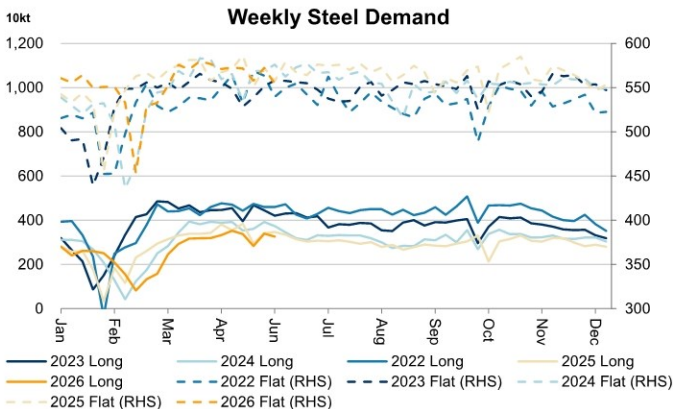
Iron ore shipments: Combined shipments from Australia and Brazil were up by 4.24 Mt WoW for the period 11th May to 17th May. Shipments from Australia were up by 1.08 Mt WoW. Shipments from Brazil were up by 3.16 Mt WoW.

Exhibit 1: Weekly data summary

	Steel			Iron Ore	
	Volume (kt) / rate (%)	WoW	YoY	Volume (kt) / rate (%)	WoW
Inventory - Traders	11,272	-2.7%	17.3%	Inventory - Ports	155,280 0.0%
Inventory - Mills	4,297	3.0%	-1.9%	Inventory - Per Mill	217 2.6%
Weekly Consumption - Long	3,262	-3.8%	-6.0%	Operating rate	63.6% 0.2 ppts
Weekly Consumption - Flat	5,544	-3.1%	-0.6%	Average daily output	401.5 0.4%
Weekly Output - Long	3,053	7.5%	-4.5%	Shipments - Australia	+1.08Mt
Weekly Output - Flat	5,569	0.1%	0.8%	Shipments - Brazil	+3.16Mt
Utilization - 247 mills	89.7%	0.2 ppts	(1.6 ppts)		
Utilization - EAF	60.8%	0.8 ppts	4.2 ppts		

Source: Mysteel, Morgan Stanley Research. Note: EAF = electric arc furnace.

Exhibit 2: Weekly steel demand



Source: Mysteel, Morgan Stanley Research

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GREATER CHINA MATERIALS

Asia Pacific

Industry View

Attractive

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/21/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb17.74
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$3.23
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb48.98
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb8.07
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb207.00
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb65.89
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb67.85
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb56.46
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$30.88
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$21.08
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$7.99
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb12.11
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$8.82

Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb17.68
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb30.14
Tianshan Aluminum (002532.SZ)	O (03/19/2026)	Rmb15.40
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$10.35
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb51.16

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Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb10.84
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$10.61
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.94
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb23.89
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb14.12
China Jushi (600176.SS)	O (12/22/2020)	Rmb35.52
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.52
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.20
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$17.35
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb17.64
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb54.51
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$35.90
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.05
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb75.33
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$67.70
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb59.69
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb26.29
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$35.24
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb43.48
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$19.11
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb33.06
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$6.03
Shandong Gold Mining Co. Ltd (600547.SS)	O (04/23/2025)	Rmb29.60
Shandong Gold Mining Co. Ltd (1787.HK)	O (12/12/2024)	HK\$24.44
Shandong Nanshan Aluminium Co. (600219.SS)	O (11/30/2020)	Rmb5.05
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$52.10
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb65.78
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb9.90
Zhaojin Mining Industry (1818.HK)	O (06/21/2024)	HK\$21.46
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$137.80
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$32.48
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb29.99

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.